DEC 13 2000

Supreme Court, U.S.
FILED
DEC 18 2000
CLERK

No. 99-1953

IN THE

Supreme Court of the United States

DISTRICT OF COLUMBIA, ET AL.,

Petitioners,

v.

TRI COUNTY INDUSTRIES, INC.,

Respondent.

On Writ of Certiorari to the United States Court of Appeals for the District of Columbia Circuit

---

BRIEF FOR RESPONDENT

FRANK J. EMIG
Counsel of Record
LAW OFFICES OF FRANK J. EMIG
Greenway Center East, Suite 314
7525 Greenway Center Drive
Greenbelt, Maryland 20770
(301) 345-7002

Counsel for Respondent

BEST AVAILABLE COPY

QUESTION PRESENTED

Did the D.C. Circuit err when it determined by conducting a "more searching inquiry" that the district court abused its discretion in ordering a new trial?

TABLE OF CONTENTS

Page

QUESTION PRESENTED i

TABLE OF AUTHORITIES iv

OPINIONS BELOW 1

STATEMENT OF THE CASE 1

I. BACKGROUND 2

II. THE FIRST TRIAL 5

III. POST TRIAL MOTIONS 11

IV. THE SECOND TRIAL 12

V. THE D.C. CIRCUIT'S DECISION 12

SUMMARY OF ARGUMENT 14

ARGUMENT 15

I. DUE TO THE DISTRICT'S FAILURE TO TIMELY RAISE THIS ISSUE, THE D.C. CIRCUIT HAS NEVER EXPLAINED THE SIGNIFICANCE OF CONDUCTING A MORE SEARCHING INQUIRY 15

II. THE MORE SEARCHING INQUIRY BY THE D.C. CIRCUIT DID NOT AFFECT THE VALIDITY OF ITS DECISION 21

A. A More Searching Inquiry May Signify A Closer Review Of The Issues In The Case To Determine Whether The District Court Abused Its Discretion 23

B. A More Searching Inquiry May Also Signify That The Abuse Of Discretion Standard Was Applied More Exactingly Due To Seventh Amendment Considerations 26

III. THE DISTRICT COURT DID ABUSE ITS DISCRETION WHEN IT VACATED THE JURY'S AWARD AND GRANTED A NEW TRIAL 29

IV. IF THIS COURT DETERMINES THAT THE D.C. CIRCUIT EMPLOYED AN ERRONEOUS STANDARD OF APPELLATE REVIEW, THE CASE SHOULD BE REMANDED FOR THE D.C. CIRCUIT TO APPLY THE CORRECT STANDARD OF REVIEW 41

CONCLUSION 41

TABLE OF AUTHORITIES

Page

CASES

Adarand Constructors, Inc. v. Pena, 515 U.S. 200 (1995) 41

Adickes v. S. H. Kress & Co., 398 U.S. 144 (1970) 21

Albemarle Paper Co. v. Moody, 422 U.S. 405 (1975) 24

Allied Chem. Corp. v. Daiflon, Inc., 449 U.S. 33 (1980) 16

ALPO Petfoods, Inc. v. Ralston Purina Co., 997 F.2d 949 (D.C. Cir. 1993) 5

Anderson v. Liberty Lobby, Inc., 477 U.S. 242 (1986) 41

Auer v. Robbins, 519 U.S. 452 (1997) 21

Barry v. Edmunds, 116 U.S. 550 (1886) 37

Browning-Ferris Indus. v. Kelco Disposal, 492 U.S. 257 (1989) 16

Carducci v. Regan, 714 F.2d 171 (D.C. Cir. 1983) 20

Carson v. Polley, 689 F.2d 562 (5th Cir. 1982) 23

Chauffeurs, Teamsters & Helpers Local No. 391 v. Terry, 494 U.S. 558 (1990) 25

Chesapeake & Ohio Ry. v. Kelly, 241 U.S. 485 (1916) 33

City of Springfield v. Kibbe, 480 U.S. 257 (1987) 15

Cooter & Gell v. Hartmarx Corp., 496 U.S. 384 (1990) 30

Country Club Assocs. Ltd. Partnership v. FDIC, 918 F. Supp. 429 (D.D.C. 1996) 6

Crawford-El v. Britton, 523 U.S. 574 (1998) 41

Dagnello v. Long Island R.R. Co., 289 F.2d 797 (2d Cir. 1961) 37

Dimick v. Schiedt, 293 U.S. 474 (1935) 26, 27

Doolin Sec. Sav. Bank v. Office of Thrift Supervision, 156 F.3d 190 (D.C. Cir. 1998) 20

EEOC v. Federal Labor Relations Auth., 476 U.S. 21 (1986) 21

First Options of Chicago, Inc. v. Kaplan, 514 U.S. 938 (1995) 31

Foust v. Munson S.S. Lines, 229 U.S. 77 (1936) 25

FTC v. Grolier, Inc., 462 U.S. 19 (1983) 21

Gasperini v. Center for Humanities, Inc., 518 U.S. 415 (1996) ..... *passim*

Grant v. United States Air Force, 197 F.3d 539 (D.C. Cir. 1999) 20

Grogan v. General Maint. Serv. Co., 763 F.2d 444 (D.C. Cir. 1985) 24

Grunenthal v. Long Island R.R. Co., 393 U.S. 156 (1968) 24

Grupo Mexicano de Desarrollo, S.A. v. Alliance Bond Fund, Inc., 527 U.S. 308 (1999) 21

Hobson v. Wilson, 737 F.2d 1 (D.C. Cir. 1984), *cert. denied*, 470 U.S. 1084 (1985) 23

Holmes v. City of Massillon, 78 F.3d 1041 (6th Cir.), *cert. denied*, 519 U.S. 935 (1996) 23

Hutchinson v. Stuckey, 952 F.2d 1418 (D.C. Cir. 1992) 23

Jeffries v. Potomac Dev. Corp., 822 F.2d 87 (D.C. Cir. 1987) 36

Kennon v. Gilmer, 131 U.S. 22 (1889) 37

Koon v. United States, 518 U.S. 81 (1996) 30, 31

Langevine v. District of Columbia, 106 F.3d 1018 (D.C. Cir. 1997) 23, 36

Lind v. Schenley Indus., Inc., 278 F.2d 79 (3d Cir.), *cert. denied*, 364 U.S. 835 (1960) 23, 28

Lytle v. Household Mfg., Inc., 494 U.S. 545 (1990) 21

Massey v. Gulf Oil Corp., 508 F.2d 92 (5th Cir.), *cert. denied*, 423 U.S. 838 (1975) 23

Matsushita Elec. Indus. Co. v. Epstein, 516 U.S. 367 (1996) 21

McBride v. Merrell Dow & Pharmaceuticals, Inc., 800 F.2d 1208 (D.C. Cir. 1986) 20

McClanahan v. Morauer & Hartzell, Inc., 404 U.S. 16 (1971) 16

McNeal v. Hi-Lo Powered Scaffolding, Inc., 836 F.2d 637 (D.C. Cir. 1988) ..... *passim*

Medcom Holding Co. v. Baxter Travenol Laboratories, Inc., 106 F.3d 1388 (7th Cir. 1997) 27

National Fed'n of Fed. Employees v. Greenberg, 983 F.2d 286 (D.C. Cir. 1993) 10

New York v. Uplinger, 467 U.S. 246 (1984) 15

Parsons v. Bedford, 28 U.S. (3 Pet.) 433 (1830) 25

Patterson v. Portich, 853 F.2d 1399 (7th Cir. 1988) 33

Pennzoil Producing Co. v. Offshore Exp., Inc., 943 F.2d 1465 (5th Cir. 1991) 32

Pullman-Standard v. Swint, 456 U.S. 273 (1988) 31

Roland Mach. Co. v. Dresser Indus., 749 F.2d 380 (7th Cir. 1984) 30

Salve Regina College v. Russell, 499 U.S. 225 (1991) 31

Samaritan Inns, Inc. v. District of Columbia, 114 F.3d 1227 (D.C. Cir. 1997) 33, 34

Superbird Farms, Inc. v. Perdue Farms, Inc., 970 F.2d 238 (7th Cir. 1992) 27

Synovus Fin. Corp. v. Board of Governors, 952 F.2d 426 (D.C. Cir. 1991) 10

Tatum v. Morton, 562 F.2d 1279 (D.C. Cir. 1977) 32

Taylor v. Washington Terminal Co., 409 F.2d 145 (D.C. Cir.), *cert. denied*, 396 U.S. 835 (1969) 23, 26, 36

United States v. Byers, 740 F.2d 1104 (D.C. Cir. 1984) 20

United States v. Criden, 648 F.2d 814 (3d Cir. 1981) 30

United States v. Epstein, 608 F.2d 1 (D.C. Cir. 1979) 34

United States v. Robinson, 560 F.2d 507 (2d Cir. 1977) 37

United States v. Taylor, 487 U.S. 326 (1988) 24

Van Boxel v. Journal Company Employees Pension Trust, 836 F.2d 1048 (7th Cir. 1988) 30

Vander Zee v. Karabatsos, 589 F.2d 723 (D.C. Cir. 1978), *cert. denied*, 441 U.S. 962 (1979) 23

Weisgram v. Marley Co., 528 U.S. 440 (2000) 20

Wilburn v. Maritrans GP Inc., 139 F.3d 350 (3d Cir. 1998) 23

Willoughby v. Potomac Elec. Power Co., 100 F.3d 999 (D.C. Cir. 1996), *cert. denied*, 520 U.S. 1197 (1997) 34

Woodley Park Community Ass'n v. District of Columbia Bd. of Zoning Adjustment, 490 A.2d 628 (D.C. 1985) 38-39

Yee v. City of Escondido, 503 U.S. 519 (1992) 21

CONSTITUTION

U.S. Const. amend. VII ..... *passim*

STATUTES AND RULES

42 U.S.C. § 1983 5

Fed. R. App. P. 28(b)(5) 19

Fed. R. App. P. 40(a)(3) 20

Fed. R. Evid. 103(a) 34

Fed. R. Evid. 403 37

OTHER AUTHORITIES

Blackstone's Commentaries on the Law (Bernard C. Gavit ed., 1941) 29

Childress & Davis, Federal Standards of Review (3d ed. 1999) 30

11 Charles Alan Wright, *et al.*, Federal Practice and Procedure (2d ed. 1995) 27

IN THE

Supreme Court of the United States

No. 99-1953

DISTRICT OF COLUMBIA, ET AL.,

Petitioners,

v.

TRI COUNTY INDUSTRIES, INC.,

Respondent.

On Writ of Certiorari to the United States Court of Appeals for the District of Columbia Circuit

---

BRIEF FOR RESPONDENT*

OPINIONS BELOW

In addition to the decisions identified by the Petitioners, the January 14, 1997 decision of the United States Court of Appeals for the District of Columbia Circuit (J.A. 18-30) is reported at 104 F.3d 455. The January 17, 1996 decision of the United States District Court for the District of Columbia (J.A. 10-17) is reported at 932 F. Supp. 4.

STATEMENT OF THE CASE

This lawsuit involves the violation of Tri County's constitutional rights by the District. This determination was made

---

* Respondent's Rule 29.6 statement appears in the Brief in Opposition at page i.

by the D.C. Circuit in 1997 and was not appealed further by the District. The question of the actual loss sustained by Tri County as a result of the District's unconstitutional actions, which a jury determined to be $5 million, is the subject of these proceedings.

I. BACKGROUND.

Tri County replaces underground fuel storage tanks in the Washington metropolitan area. J.A. 39.[1] If the surrounding soil has become contaminated with petroleum from such tanks, Tri County must also excavate and transport the soil to a treatment facility. J.A. 39-40. Tri County removes well over 60,000 tons of contaminated soil per year, but must haul it to other cities due to the unavailability of treatment facilities in the Washington area. J.A. 35, 40.

On June 1, 1992, Tri County leased a 53,000 square foot warehouse ("the Bryant Street warehouse") in an industrial area of northeast Washington, D.C., with the intention of operating its own soil remediation unit[2] inside this building. Pl. Ex. 2, R. 4, 79 (4/14/98).[3] On July 1, 1992, Tri County applied to the District of Columbia Department of Consumer & Regulatory Affairs ("DCRA") for a building permit to operate a soil remediation facility at this location. R. 433 (4/16/98). An extensive governmental review of this project followed, including visits to the site by District regulatory officials. J.A. 8, 9. During this investigation, Tri County informed the District, *inter alia*, that it intended to treat approximately 75,000 tons of contaminated soil per year and

[1] References to "J.A." are to the Joint Appendix, to "Pet." are to the Petition for Certiorari, to "Pet. App." are to the Appendix to the Petition for Certiorari, and to "Rep. Pet." are to the Reply to Brief in Opposition.

[2] This equipment cleans contaminated soil by a thermal process that vaporizes the petroleum contaminants.

[3] References to pages in the Record ("R.") are to the transcript of the first trial, docket entries 111-114.

that the soil would be transported to the facility in covered dump trucks traveling through a commercial and industrial area. J.A. 100, 101. Tri County intended to purchase the same soil cleaning equipment that it had used several years earlier on a temporary basis elsewhere in the city and which had been tested and approved by District regulatory officials at that time. J.A. 40-41.

On December 11, 1992, the District issued an air quality approval to Tri County for this facility. J.A. 126. It prohibited the treatment of hazardous waste material but authorized Tri County to process soil "contaminated with gasoline, diesel oil, fuel oil or kerosene." J.A. 128. On December 22, 1992, Ferial Bishop, the administrator of the District's Environmental Regulation Administration, concluded that an environmental impact statement would not be required since the project would result in no significant environmental impact. J.A. 130. On February 26, 1993, the District issued Tri County a building permit to renovate the "existing warehouse as per plans for industrial process and storage. (Soil Remediation Facility)." Pl. Ex. 5, R. 4, 80-81 (4/14/98). James Sweeney, a DCRA employee, testified that if the contaminated soil was kept inside the warehouse, as Tri County intended, it would have no effect on the surrounding homes and the project would not imminently and substantially affect the public health, safety and welfare. J.A. 97-98.

Tri County then began extensive and costly renovations of this warehouse to accommodate its new business. Under its air quality approval, Tri County was required to test the soil remediation equipment after installation to ensure that it was operating in accordance with approved emission levels. J.A. 127. Accordingly, toward the end of the construction period, Tri County began having contaminated soil transported to the warehouse in anticipation of the delivery and required testing of the soil remediation equipment. J.A. 35, 37-38.

Before the equipment arrived at the site, public opposition to the project surfaced. J.A. 19. On September 20, 1993, a community meeting was held near the proposed site. *Id.* Hampton Cross, the Acting Director of DCRA, and Merrick

Malone of the District's Department of Housing and Community Development ("DHCD"), attended this meeting. J.A. 89 and D.C. Circuit No. 96-7022, Plaintiff's Appendix, A. 142, A. 269. Malone voiced concerns about the effects of Tri County's project on a proposed DHCD project that was purportedly to be constructed adjacent to the Tri County project. *Id.* at A. 143, A. 279-290. Although Malone's information regarding this project was wrong—the area designated for possible redevelopment was over three blocks from the Tri County facility, *id.* at A. 143, A. 291-305—Cross nevertheless relied upon that information and immediately suspended Tri County's building permit. *Id.* at A. 144, A. 311-312. As the D.C. Circuit observed, Cross "pursued no procedure at all to assess whether the alleged change in circumstances materially undermined his agency's prior finding" that the project was not a danger to health and safety. J.A. 29. Without affording Tri County any pre-deprivation or prompt post-deprivation hearing to challenge this indefinite suspension of its permit, the District violated Tri County's procedural due process rights, as the D.C. Circuit held in the first appeal in this case. J.A. 27-30.

When Cross indicated that he could not withdraw this spontaneous suspension, Tri County decided to terminate this project. J.A. 48, 53. An administrative appeal was not feasible due to its indefinite duration, uncertain outcome and continued project costs, which included payment for the soil cleaning equipment to prevent its resale. J.A. 47, 48. In November, 1993, Tri County proceeded to cancel the lease on the Bryant Street warehouse, which was costing $14,000 per month in rent, and thereafter removed the contaminated soil from the building. J.A. 38, 48.

The costs to Tri County of this failed project were enormous. It had spent or incurred costs of $536,421 for professional and consulting assistance in obtaining the permit, lease payments, renovation costs and other project-related expenses. J.A. 36, 132, R. 101 (4/14/98). Tri County was also deprived of the opportunity to earn substantial profits from this project.

II. THE FIRST TRIAL.

On September 20, 1994, Tri County filed suit against the District of Columbia and its employees seeking damages under 42 U.S.C. § 1983 for the violation of Tri County's due process rights. The district court granted the District's motion for summary judgment and rejected Tri County's constitutional claims. J.A. 2, D.E. 47. On appeal, a panel of the D.C. Circuit, consisting of Chief Judge Edwards and Circuit Judges Williams and Sentelle, held that "Cross's 'procedure' . . . deprived Tri County of property without due process of law." 104 F.3d at 462. The D.C. Circuit described the actions of Cross as "a classic case of shooting from the hip on complex technical matters." *Id.* It also determined that there was "provision for correction of the sort of suspension issued by Cross, but uncertainty as to its likely speed." *Id.* at 461. The case was remanded to the district court for proof of damages sustained by Tri County, as well as consideration of the District's defenses of mootness and failure to mitigate damages. J.A. 29-30.

Prior to trial, Tri County sought summary judgment on its claim for damages. R. D.E. 57 (4/15/97). The district court denied the motion and stated that lost profits of a relatively new business would be speculative. J.A. 33. Its sole authority for this statement was *Country Club Associates Limited Partnership v. FDIC*, 918 F. Supp. 429 (D.D.C. 1996).[4] That case, however, was governed by Virginia law, which bars recovery of lost profits by a new business as a matter of law. The district court was advised that under District of Columbia law, a new business can assert a claim for lost profits. See *ALPO Petfoods, Inc. v. Ralston Purina Co.*, 997 F.2d 949, 951 (D.C. Cir. 1993). At trial, the district court accordingly instructed the jury, without objection by the District, that a new business could recover future profits. J.A. 125.

---

[4] The District quotes this portion of the district court's opinion in its brief (p. 7) but omits the reference to *Country Club*. Contrary to its assertion, there was no "pretrial evidentiary ruling." Pet. Br. 8.

During trial, Tri County established that it had incurred $536,421 in costs for this project. J.A. 132. The District did not object to the admissibility of the evidence establishing these costs, did not cross-examine Tri County regarding them and did not present any evidence that questioned the validity or the reasonableness of these expenditures.

Tri County also established that the District's unconstitutional action deprived it of substantial future lost profits. Its president, Glenn Selzer, testified that Tri County could have kept this plant fully operational (processing 75,000 tons of soil per year) with the contaminated soil that it removes from its own projects. R. 131-132 (4/15/98). Vincent DiRenzo, who was recognized without objection as an expert in the field of remediation of soil with petroleum content (J.A. 60), stated that there was sufficient contaminated soil available in the Washington area so that Tri County could have treated 75,000 tons per year from 1994 through 2000. J.A. 62-63. He also testified to the market rate for decontamination of such soil during this same seven-year period. J.A. 62. The District presented no evidence refuting these opinions.[5]

Dr. Joel Morse, a financial economist from the University of Baltimore, was recognized without objection as an expert in his field. J.A. 66. Dr. Morse computed projected revenues for the Tri County facility from 1994 through 2000 based upon the market rates provided by DiRenzo and the anticipated operating costs of the plant. J.A. 67, 139-142, R. 262-263 (4/15/98). The operating costs of the facility were based upon the detailed sworn testimony of six other Tri County witnesses. After adjusting for inflation and present value, Dr.

---

[5] In its brief, the District quotes extensively from DiRenzo's written report of March 24, 1995, regarding reduced soil prices and a facility in another city that went out of business. Pet. Br. 7-8. The District itself objected to this report and it was not admitted into evidence. R. 244 (4/15/98). During DiRenzo's testimony, moreover, the District did not question DiRenzo regarding soil prices or the closed competitor and it did not raise such issues to the jury in closing argument.

Morse testified that the total lost profits for 1994 through 2000 amounted to $11,628,174. J.A. 66, 67, 139-142. The District of Columbia did not object to any of this testimony by Dr. Morse.

The District of Columbia presented no evidence during trial indicating that Dr. Morse's method of valuation was improper or unreliable. The District also produced no evidence to refute any of the revenue or cost figures that appeared in Dr. Morse's report.[6] The District never suggested that there were costs associated with this project that were omitted from Dr. Morse's report. The District produced no witnesses to challenge Dr. Morse's opinion of lost profits of $11,628,174 by stating that the figure was either too high or too speculative.

The District did present three defenses to Tri County's claim during trial. First, it argued that Tri County failed to mitigate its damages by not appealing the unconstitutional suspension of its permit. R. 329-330 (4/16/98). Tri County presented testimony that pursuing an administrative appeal was not reasonable in view of the length of time involved (8 to 12 months) (J.A. 54) and the additional costs of approximately $1 million that it would have incurred to keep the project viable during the appeal process. J.A. 47-48. There was also testimony from Cross that the Board of Appeals and

---

[6] In a belated effort to discredit Dr. Morse's opinions, the District mistakenly asserts that the five employees assigned to the plant would each work 75 hours per week. Pet. Br. 9. This was an argument that was initially raised before the D.C. Circuit rather than at trial. D.C. Cir. No. 99-7028, Appellee's Brief, 11. Tri County stated that this contention had been waived. *Id.*, Reply Brief, 5, 18. It also responded to the argument by noting that the facility would normally require three persons to operate it. J.A. 57. Five persons were projected as employees so that the additional half shift would be covered without the need for overtime. Dr. Morse's report reflects this fact since the laborers' salaries are based on a 40 hour work week. J.A. 141. See D.C. Cir. No. 99-7028, Reply Brief, 5, 18.

Review, which would have jurisdiction over the appeal, was politically motivated and would act at the direction of the Mayor and Chief of Staff, who were opposed to the continuation of the project. J.A. 53-54, 89-92.

The District also asserted a claim of mootness. R. 473-474 (4/16/98). It alleged that Tri County's building permit was automatically suspended when the company failed to appear for a hearing on October 13, 1993, at the Office of Adjudication. Such hearing had been scheduled to consider the validity of a notice of infraction given to Tri County following an inspector's site visit on September 2, 1993. J.A. 85-86, 88. The infraction notice was for operating a soil remediation business without a certificate of occupancy. J.A. 81. A stop work order for the same violation had also been posted by the District on the property on September 22, 1993. J.A. 83-84. Tri County established that it could have removed the suspension and the stop work order at its discretion simply by paying the fine of $1,525 and by taking away the soil in the warehouse or by obtaining its certificate of occupancy.[7] J.A. 82, 85, 87-89. Tri County believed that the unconstitutional suspension of September 20, 1993, was the major roadblock to the continuation of the project. J.A. 46-47. Until this suspension was lifted, there was no need for Tri County to resolve the stop work order or the October 13, 1993 suspension. J.A. 46-47.

The District's third defense involved the alleged health and safety risks associated with Tri County's project. J.A. 72-73. In its opening statement, the District described these proceedings as "a case in which a community . . . stood up and opposed a project which they felt was detrimental to the health, safety and welfare of the community." R. 69 (4/14/98). The District questioned one of Tri County's

[7] According to the District's own witnesses, a certificate of occupancy was relatively easy to obtain. It would be issued following an inspection to verify that the construction work had been performed in accordance with approved plans and specifications. J.A. 81-83.

witnesses about "health risks associated with the handling and processing of contaminated soil . . . ." R. 214-215 (4/15/98). Tri County objected to the prejudicial aspect of this issue. J.A. 72 and R. 383 (4/16/98). The trial court agreed and advised the District that "you're fighting the last war. Those issues were decided once by the District of Columbia . . . . When they granted the building permit." R. 311-312 (4/15/98), 387, 392 (4/16/98). The court informed the District that "it is conceivable that after hearing the testimony of a witness expressing generalized health and safety concerns . . . I will . . . strike it." J.A. 76. The district court told the District that it had to establish, in addition to health or safety concerns, the existence of a legal mechanism that would have permitted it to stop this project.[8] J.A. 76-77.

Despite the trial court's admonition, the District continued to produce witnesses and exhibits which raised only concerns regarding the safety of the project. The trial court continued to ask the District if it could identify "a legal vehicle in which the community concerns could properly have been considered." R. 384-387 (4/16/98). When it became apparent that such evidence would not be produced, the trial court stated that "[w]hat is still not in the case is . . . that the District of Columbia on health and safety grounds would have ultimately refused permission of this plant to go forward." R. 474 (4/16/98). The trial court then excluded the District's prior testimony regarding the health and safety effects of the project by concluding that such issues had been fully considered and resolved by the permitting process. J.A. 123.

The district court also struck a post-suspension letter dated October 15, 1993, from DCRA to Tri County seeking further information regarding this project. J.A. 145. DCRA employee Sweeney admitted that the information requested in the October 15, 1993 letter would normally have been considered by DCRA during its review of the building permit

[8] The trial court also believed that community opposition alone would not be sufficient to close the project. R. 392 (4/16/98).

application. J.A. 98. Sweeney, however, never asked anyone in DCRA if they had this information before sending this letter to Tri County. J.A. 98-99. Tri County did not respond to this letter since it had already furnished this information. J.A. 50-51. The District was unable to establish any legal authority allowing this request for further information. J.A. 103, 105, 115. See also J.A. 20. The October 15, 1993 correspondence was followed by another letter on December 6, 1993. J.A. 148. This second letter notified Tri County that the failure to respond to the October 15, 1993 letter "constitutes grounds for disapproval of the project." J.A. 149. It also referred to "likely significant adverse environmental impacts on nearby homes" that had not been established by any evidence. J.A. 149. The district court excluded both letters as prejudicial since they purported to suspend Tri County's permit for not responding to a letter that had no legal basis for being sent as well as the unsupported reference to "likely significant adverse environmental impacts on nearby homes." J.A. 119. [9]

[9] Three other new factual issues were raised for the first time during the D.C. Circuit appeal by the District. The first involved DiRenzo's estimate of trucking costs. The only evidence during trial regarding trucking costs was Selzer's testimony of $1.00 per ton. J.A. 42. The District never challenged the reasonableness of this rate during trial. The higher rate in DiRenzo's report was never entered in evidence nor referred to by the District during trial. The District then mentions that the Carter report assumes a production rate of 20 tons per hour, when in fact the plant can treat at least 25 tons of soil per hour. Pet. Br. 9-10. The report used the lower rate as an average in order to reflect 75,000 tons of soil being treated annually. Lodging 17. Lastly, the District refers to the fact that Tri County paid $17.50 per ton to have the soil delivered to the Bryant Street warehouse. This price seems to conflict with Selzer's estimated trucking costs of $1.00 per ton. Tri County argued to the D.C. Circuit that since the District did not raise this issue at trial the matter had been waived based upon *National Federation of Federal Employees v. Greenberg*, 983 F.2d 286, 288-289 (D.C. Cir. 1993), and *Synovus Financial Corp. v. Board of Governors*, 952 F.2d 426, 431 (D.C. Cir. 1991). See D.C. Cir. No. 99-7028, Reply Brief, 17. It also argued that if such evidence had been presented at trial, there would have been testimony that the $17.50 per ton charge included not only transportation but also excavation and purchase of backfill. *Id.* at 5 n.3.

The district court informed the jury that there were four issues in this case: the alleged failure to mitigate damages; the amount spent by Tri County on this project in reliance on its building permit; the amount of lost profits that Tri County sustained; and whether Tri County's claim was moot as a result of the stop work order. J.A. 123-124. The instructions on lost profits were detailed. J.A. 124-125. The jury was instructed that in computing lost profits, it could "consider the uncertainty which makes the success of a new business problematical" as well as "the success or failure of other like businesses." J.A. 125.

The jury deliberated and awarded Tri County $5 million in compensatory damages. Pet. App. 11. In reaching this decision, the jury necessarily rejected the District's factual defenses of mitigation and mootness.

III. POST TRIAL MOTIONS.

The District filed a "Motion for Judgment Notwithstanding the Verdict or, in the Alternative, for a New Trial" and asserted its defenses of mootness, failure to mitigate and the speculative nature of Tri County's damages. The Rule 50 motion was denied, but the district court granted a new trial unless Tri County accepted a remittitur of $1 million. Pet. App. 12, 14. Tri County rejected the remittitur.

The Memorandum Order granting the new trial was brief and centered on four issues. Specifically, the district court concluded that: Tri County was unreasonable as a matter of law in not appealing the unlawful suspension of its building permit; its lost profit claim was speculative; the jury verdict for lost profits was grossly excessive and shocked the conscience of the court; and the district court erred in its exclusion of evidence of the likely course of future community

resistance and regulatory activities with respect to the remediation facility. Pet. App. 12-14.

IV. THE SECOND TRIAL.

The second trial resulted in a verdict of only nominal damages to Tri County due to erroneous and prejudicial evidentiary rulings. Such rulings were part of the appeal noted by Tri County, but were not considered by the D.C. Circuit since it reinstated the original jury verdict on the ground that the district court abused its discretion in granting a new trial.

V. THE D.C. CIRCUIT'S DECISION.

A panel of the D.C. Circuit, consisting of Chief Judge Edwards and Circuit Judges Silberman and Henderson, "review[ed] the district court's grant of a new trial for abuse of discretion." Pet. App. 5. See also *id.* at 7, 10. The Court ruled that a more searching inquiry is required when the district court grants a new trial due to the concern that the district court's granting of a new trial might "encroach on the jury's fact-finding function." Pet. App. 5. The D.C. Circuit concluded that the district court "did abuse its discretion," reversed the district court's order that granted a new trial and reinstated the $5 million jury verdict. Pet. App. 10.

The D.C. Circuit rejected the district court's conclusion that Tri County failed to mitigate its damages when it did not seek reinstatement of its suspended building permit. Pet. App. 6-7. In view of Tri County's explanation that the Board of Appeals and Review was politically motivated and that an appeal was too slow and costly, the court held that the evidence presented an issue for the jury concerning "what action was reasonable under the circumstances." Pet. App. 6. The D.C. Circuit concluded that the district court abused its discretion in taking the issue of mitigation of damages away from the jury and deciding it as a matter of law.

The D.C. Circuit also disagreed with the trial court's ruling that as a matter of law Tri County's evidence of lost profits was too speculative and remote. The appellate court, citing Supreme Court precedent, stated that proof of damages may

be based on a reasonable estimate when the defendant has prevented the ascertainment of the amount of damages with certainty. Pet. App. 8. The D.C. Circuit examined the testimony of eight witnesses produced by Tri County and noted that "[t]heir respective opinions were left largely unchallenged by the District." Pet. App. 8. It held that Tri County's estimates of loss were "sufficiently well-founded to avoid characterization as 'mere speculation or guess.' " Pet. App. 9.

The D.C. Circuit then rejected the district court's legal conclusion that the jury award was excessive. The test to be applied was whether the award was "within the 'reasonable range within which the jury may properly operate.' " Pet. App. 9. The D.C. Circuit stated that Tri County presented evidence of costs totaling $536,421 and lost profits of $11,628,174. Pet. App. 9. Since the jury award was less than half of the amount proven at trial, it was within the range of the evidence and should not have been characterized as excessive.

Finally, the D.C. Circuit addressed the trial court's statement that it had erred by not allowing the District to prove the "very real likelihood that the District of Columbia would have closed down the remediation facility . . . or that it never would have been permitted to commence operations at all." Pet. App. 9. The D.C. Circuit disagreed with this erroneous legal conclusion of the district court that was unsupported by the record and placed the blame for lack of such proof squarely on the District. It stated that:

> Despite its reliance on this argument, the District never met the trial court's repeated injunction to show how the health and safety issue would have triggered additional regulatory procedures or otherwise allowed the District to rescind its earlier approval. See J.A. 172; see also *id.* at 168-69, 172-75, 186-87. In short, the District failed to show that community concern would be brought to bear on Tri County's operation, specifically through the regulatory process. Pet. App. 10.

As a result, the district court's decision during trial to strike testimony regarding safety concerns over Tri County's project was not an abuse of discretion because, in addition to being unfairly prejudicial, such issues had already been considered and resolved by the District during the permitting process. Pet. App. 10.

The District then filed a petition for rehearing and, in the alternative, for rehearing *en banc*. It argued for the first time that by conducting a more searching inquiry, the D.C. Circuit applied an overly restrictive standard of review. Both petitions were denied by the D.C. Circuit without explanation. Pet. App. 16-17.

SUMMARY OF ARGUMENT

The D.C. Circuit has never explained the meaning or effect of conducting a more searching inquiry. The District is unable to establish that this phrase affected the abuse of discretion standard of appellate review, although it had the opportunity to raise this issue with the D.C. Circuit. The writ of certiorari should be dismissed as improvidently granted in view of the uncertainty surrounding a "more searching inquiry."

A more searching inquiry does not have any substantive connotations. It only indicates that the D.C. Circuit conducted a more searching review of the record due to the conflict between the views of the judge and the jury. Such additional review is necessary to make certain that a party has not been deprived of its right to a jury trial.

Even if a more searching inquiry constituted a stricter abuse of discretion standard of review, such action was appropriate. The jury's examination of the facts was entitled to greater deference than the trial judge's review of the evidence. Such greater deference is afforded by a stricter abuse of discretion standard.

Further, the errors committed by the district court were legal in nature. Such erroneous rulings constituted abuse of discretion. Regardless of whether a more searching inquiry

was conducted, the D.C. Circuit was correct in reversing the district court's grant of a new trial under an ordinary abuse of discretion standard.

Lastly, if this Court determines that the D.C. Circuit did apply the wrong standard of review, the case should be remanded for reconsideration especially because the D.C. Circuit never reviewed Tri County's objections to the second trial.

ARGUMENT

I. DUE TO THE DISTRICT'S FAILURE TO TIMELY RAISE THIS ISSUE, THE D.C. CIRCUIT HAS NEVER EXPLAINED THE SIGNIFICANCE OF CONDUCTING A MORE SEARCHING INQUIRY.

Although the District had every opportunity below to challenge the use of a "more searching inquiry," it failed to do so until after the court of appeals had issued its opinion. As a result, the D.C. Circuit had no occasion to identify or defend the basis for engaging in such an inquiry, explain what it meant by this phrase, or demonstrate the effect, if any, the inquiry had on its decision. Instead, it simply alluded to a "more searching inquiry" while recognizing abuse of discretion as the standard, and gave no indication of how it applied a more searching inquiry.

This case, therefore, presents a poor vehicle for the Court to consider the validity of the "more searching inquiry" approach. In similar circumstances where the Court is left with insufficient information to evaluate the meaning and effect of the decision below, the Court has found it advisable to dismiss the writ as improvidently granted. See *City of Springfield v. Kibbe*, 480 U.S. 257, 258-259 (1987) (writ dismissed as improvidently granted where question presented was whether municipality could be held liable for inadequate training of employees under negligence standard, but City did not object to jury instruction that negligence would suffice); *New York v. Uplinger*, 467 U.S. 246, 248 (1984) (dismissing the writ because "the opinion of the Court of

Appeals is fairly subject to varying interpretations"); *McClanahan v. Morauer & Hartzell, Inc.*, 404 U.S. 16, 16 (1971) (dismissing the writ since "the record does not adequately present" the question on which certiorari was granted). This disposition is particularly appropriate where, as here, the petitioners' failure to join issue below is the cause of the inadequacy of the record. Accordingly, for the reasons explained below, we respectfully submit that the writ should be dismissed as improvidently granted.

The standard of review to be applied by an appellate court when a district court has granted a new trial is abuse of discretion. See *Browning-Ferris Indus. v. Kelco Disposal, Inc.*, 492 U.S. 257, 279 (1989); *Allied Chem. Corp. v. Daiflon, Inc.*, 449 U.S. 33, 36-37 n.3 (1980). The D.C. Circuit expressly applied this standard when it reviewed and set aside the district court's grant of a new trial. It stated on three occasions in its opinion that it reviewed the lower court's decision to award a new trial for an abuse of discretion. Pet. App. 5, 7, 11. While it indicated that in the circumstances of this case it conducted a more searching inquiry as part of its abuse of discretion review, nothing in its opinion gives any indication that the court below ever wavered from an abuse of discretion standard in this case.

On this record, the District itself is left at something of a loss to explain how a more searching inquiry might have been different—let alone erroneously so—from the abuse of discretion review it claims was not conducted.[10] On the one

[10] Without textual support for this contention in the D.C. Circuit's opinion, the District is forced to rely on several lines from the transcript of the oral argument in which one of the judges says there was a rather restrictive standard for taking away a jury verdict and ordering a new trial according to *McNeal v. Hi-Lo Powered Scaffolding, Inc.*, 836 F.2d 637 (D.C. Cir. 1988). Pet. 22, n.11. Even assuming that this statement refers to the standard of review used by the appellate court, it is the written opinion that is the final expression of the D.C. Circuit's position. The opinion acknowledges that abuse of discretion is the appropriate standard of appellate review and does not suggest that a harsher abuse of

hand, the District continues to recognize that "the D.C. Circuit ruled that the district court had *abused its discretion* in granting a new trial." Pet. Br. 20 (emphasis added). At the other extreme, the District contends that the court of appeals adopted a "strict scrutiny standard," and used a "strict scrutiny approach." *Id.* at 42. It contends, without express support in the D.C. Circuit's opinion, that the court gave "no deference" to the trial court, *id.* at 43, and took it upon itself to "substitute its judgment" for the trial judge's. *Id.* While the District no doubt believes that the D.C. Circuit overstepped it bounds in this manner, this charge could be leveled by any party when a decision in its favor is reversed under an abuse of discretion standard. The District's *characterization* of the D.C. Circuit's action does not establish the metes and bounds of any "more searching inquiry" or that such an inquiry made a difference in this case.

The simple fact is that the D.C. Circuit's opinion states only that it is applying abuse of discretion review and that it is conducting a more searching inquiry under that review because of the Seventh Amendment interests at stake. It provides no guidance on how this inquiry is applied, how it affects the abuse of discretion review, and how it might have made a difference in this case. There is no suggestion in the D.C. Circuit's opinion that the more searching inquiry was outcome determinative. Thus, both parties as well as the Court are in a poor position to evaluate the propriety of a "more searching inquiry."

On the record of this case, it is hardly surprising that the D.C. Circuit saw no need to defend or explain the "more searching inquiry," because no party objected to the use of

discretion standard of review was employed. The quotation also is not as supportive as the District contends. While counsel for the District was referring to the standard of appellate review, it appears that the D.C. Circuit was referring to the standard that the trial court had to apply to set aside the jury verdict. These are two separate issues and it seems that the parties were talking at cross-purposes.

such an inquiry. Specifically, while it was on notice that a "more searching inquiry" might be used and had ample opportunity to object, the District did not present to the court below any challenge to the use of that inquiry. It is therefore hardly in a position to challenge that inquiry now, particularly where its own acquiescence has resulted in the lack of clarity present here.

When Tri County filed its brief with the D.C. Circuit, it clearly specified that abuse of discretion was the standard of review applicable to this case. In the very first paragraph of the Argument section of its brief—captioned "A. THE FIRST TRIAL–STANDARD OF REVIEW"—Tri County stated that "The trial court's decision to grant a new trial will be given close scrutiny in order to protect the litigant's right to a jury trial." D.C. Cir. No. 99-7028, Appellant's Brief at 30. Tri County cited *McNeal v. Hi-Lo Powered Scaffolding, Inc.*, *supra*, as supporting authority for this approach. *McNeal* states that the granting of a new trial will be reviewed for abuse of discretion, and that "a more searching inquiry is required to prevent the trial court from 'encroach[ing] on the jury's important fact-finding function.'" *Id.* at 646 (citation omitted). Tri County then asserted that abuse of discretion occurs when the district court applies the wrong legal standard or relies on clearly erroneous facts. It proceeded to identify four instances in which the trial court abused its discretion by granting a new trial. At this point, the District was on notice that Tri County wished the D.C. Circuit to conduct "a more searching inquiry" of the record and to conclude that the lower court had abused its discretion in granting a new trial.

In its brief, the District conceded that an abuse of discretion standard applied. D.C. Cir. No. 99-7028, Appellees' Brief at 22. It was, however, completely silent on the appropriateness of a more searching inquiry by the D.C. Circuit. This was the time to state any objection to the use of a more searching inquiry. Given that the "more searching inquiry" standard is the sole basis on which the District petitioned this Court for a writ of certiorari, it is all the more remarkable that the

District failed to object to the D.C. Circuit's well established rule. This may very well be because the District recognized that the inquiry suggested by Tri County did not substantively affect or modify the abuse of discretion standard of appellate review. Of course, had the District genuinely considered the inquiry to result in a different standard of review, as it now contends, then its silence waives its right to press that issue further.[11] Whatever the reason for the District's acquiescence, its silence deprived the court of appeals of an opportunity to defend the standard or even to articulate what the standard meant, which in turn, inhibits this Court from meaningfully reviewing the question on which certiorari was granted.

The District admits that, to the extent that the D. C. Circuit used a stricter standard, it was made aware of that fact at oral argument in the court of appeals. It concedes that "[a]t oral argument, in a colloquy with counsel for the District, the D.C. Circuit underscored the importance of its close appellate scrutiny standard derived from its decision in *McNeal v. Hi-Lo*." Pet. 22, n.11. Shortly after oral argument and before an opinion was issued, the District wrote two letters to the D.C. Circuit in an effort to supplement its argument. J.A. 7, docket entries 11/18/99 & 11/23/99. Neither letter mentioned whether conducting a more searching inquiry affected appellate review for abuse of discretion or objected to such an inquiry.

Not surprisingly, the opinion rendered by the D.C. Circuit adopted the uncontested standard of review that was suggested by the parties: the district court's grant of a new trial was reviewed for abuse of discretion and a more searching inquiry was conducted. Pet. App. 5.

---

[11] Rule 28(b)(5) of the Federal Rules of Appellate Procedure required the District to set forth its own statement of the applicable standard of review if it was dissatisfied with Tri County's statement.

The District responded to this unfavorable decision with a petition for rehearing and, in the alternative, for rehearing *en banc*. In its petition, the District argued for the very first time that a more searching inquiry creates a new standard of appellate review and conflicts with *Gasperini v. Center for Humanities, Inc.*, 518 U.S. 415 (1996). The D.C. Circuit denied both petitions without explanation and without even requesting a response from Tri County. See Pet. App. 16-17 and Fed. R. App. P. 40(a)(3).[12]

To the extent that the District contends that *Gasperini* prohibits an appellate court from conducting a more searching inquiry, it had ample opportunity to assert this argument in its brief and elsewhere before the D.C. Circuit issued its opinion. As a result, the D.C. Circuit's denial of the petition for rehearing was entirely proper. See *Weisgram v. Marley Co.*, 528 U.S. 440, 120 S. Ct. 1011, 1021 n.11 (2000) ("Nor do we foreclose the possibility that a court of appeals might properly deny a petition for rehearing because it pressed an argument that plainly could have been formulated in a party's brief.")

Because the District failed to question the suitability or meaning of a more searching inquiry, the D.C. Circuit has never been given the opportunity to discuss the overall effect that this phrase had on its opinion. The District does not know if the D.C. Circuit placed any substantive connotations

[12] There is no way of knowing whether the D.C. Circuit thought the District's argument was waived, meritless or immaterial. In prior decisions, the court of appeals has refused to consider issues not raised or discussed by the parties in their initial briefs. See *Grant v. United States Air Force*, 197 F.3d 539, 542 n.6 (D.C. Cir. 1999); *Doolin Sec. Sav. Bank v. Office of Thrift Supervision*, 156 F.3d 190, 191 (D.C. Cir. 1998); *McBride v. Merrell Dow & Pharms., Inc.*, 800 F.2d 1208, 1210 (D.C. Cir. 1986); *United States v. Byers*, 740 F.2d 1104, 1115-16 n.11 (D.C. Cir. 1984) (claim raised for the first time in a petition for rehearing will not be considered unless there has been a supervening change of fact or law); *Carducci v. Regan*, 714 F.2d 171, 177 (D.C. Cir. 1983).

on a "more searching inquiry." As a result of the District's failure to join issue below, it was not explained in the D.C. Circuit decision and the parties and this Court are now left to speculate on the meaning and effect of a more searching inquiry on the decision of the D.C. Circuit. In these circumstances, the issue should not be reviewed by this Court. See *Yee v. City of Escondido*, 503 U.S. 519, 538 (1992) ("Prudence also dictates awaiting a case in which the issue was fully litigated below, so that we will have the benefit of developed arguments on both sides and lower court opinions squarely addressing the question.") (citing *Lytle v. Household Mfg., Inc.*, 494 U.S. 545, 552 n.3 (1990)); *Matsushita Elec. Indus. Co. v. Epstein*, 516 U.S. 367, 379 n.5 (1996); *Grupo Mexicano de Desarrollo, S.A. v. Alliance Bond Fund, Inc.*, 527 U.S. 308, 318 n.3 (1999); *Auer v. Robbins*, 519 U.S. 452, 464 (1997); *EEOC v. Federal Labor Relations Auth.*, 476 U.S. 19, 24 (1986) ("Our normal practice . . . is to refrain from addressing issues not raised in the Court of Appeals."); *FTC v. Grolier, Inc.*, 462 U.S. 19, 23 n.6 (1983); *Adickes v. S. H. Kress & Co.*, 398 U.S. 144, 147 n.2 (1970).

II. THE MORE SEARCHING INQUIRY CONDUCTED BY THE D.C. CIRCUIT DID NOT AFFECT THE VALIDITY OF ITS DECISION.

The District devotes a significant portion of its brief to an historical analysis of the district court's ability to grant a new trial. Pet. Br. 29-40. Tri County does not disagree that a new trial could be granted either in the Eighteenth Century or at the present time when the verdict is against the weight of the evidence or if the damages awarded were excessive.[13] However, the trial court's ability to order a new trial does not imply that an appellate court is prohibited from reviewing its decision for abuse of discretion or from conducting a more

[13] The District also states that the trial court at common law had discretion to grant another trial "on evidentiary grounds" (Pet. Br. at 35-36) or if it "unwisely excluded evidence from the jury's consideration," Pet. Br. at 29, but the authorities cited in the District's brief do not support these assertions.

searching inquiry, which are the issues involved in this case. The historical authorities cited by the District for the proposition that "a district court judge has broad discretion to order new jury trials for a variety of reasons" (Pet. Br. 29) do not address this question. Indeed, as the Court itself recognized in *Gasperini*—at least in the context of *denials* of new trial motions—there was apparently no opportunity for appellate review at common law. See 518 U.S. at 434; *id.* at 443 (Stevens, J., dissenting); *id.* at 452-454 & n.3 (Scalia, J., dissenting). Thus, other than establishing the undisputed point that trial courts have, historically and to the present, enjoyed discretion to award new trials for a variety of reasons, the District's extended historical discussion is largely beside the point.

What is at issue in this case is the propriety of the D.C. Circuit's "more searching inquiry." As we have explained, evaluation of that question is made difficult by the court's failure to explain what that inquiry involved and how it affected its analysis and decision. In the absence of specific guidance from the D.C. Circuit, however, we can discern two possible meanings of the more searching inquiry. The D.C. Circuit could have intended this type of inquiry to be a means of looking more closely than it otherwise would have to determine whether the district court abused its discretion. That the court was engaged in this "closer look" inquiry is supported by both the "more searching" language the court used and its continued reliance on an abuse of discretion standard of review. Alternatively, the D.C. Circuit may have intended its more searching inquiry to involve a more exacting application of an abuse of discretion standard—in effect changing the standard of review—due to Seventh Amendment considerations. While we see no support in the court's opinion for concluding that it changed the standard of review—as opposed to taking a closer look for abuse of discretion—it is such a change that the District attacks here. In any event, for the reasons explained below, either approach is permissible.

A. A More Searching Inquiry May Signify A Closer Review Of The Issues In The Case To Determine Whether The District Court Abused Its Discretion.

The more searching inquiry approach originated from *Lind v. Schenley Indus., Inc.*, 278 F.2d 79 (3d Cir.), *cert. denied*, 364 U.S. 835 (1960), and has been consistently recognized by the D.C. Circuit since that time.[14] It has also been followed by the Third, Fifth and Sixth Circuits.[15]

In this case, the D.C. Circuit's opinion significantly did not identify this more searching inquiry as a modification of the applicable abuse of discretion standard of review. Nor do any of the prior D.C. Circuit cases that employed a more searching inquiry ever state that under such an inquiry the abuse of discretion standard of review was modified or applied more strictly. Thus, the court's articulation of such an inquiry might suggest only that the appellate court will

---

[14] See *Taylor v. Washington Terminal Co.*, 409 F.2d 145, (D.C. Cir.), *cert. denied*, 396 U.S. 835 (1969); *Vander Zee v. Karabatsos*, 589 F.2d 723 (D.C. Cir. 1978), *cert. denied*, 441 U.S. 962 (1979); *Hobson v. Wilson*, 737 F.2d 1 (D.C. Cir. 1984), *cert. denied*, 470 U.S. 1084 (1985); *McNeal v. Hi-Lo Powered Scaffolding, Inc.*, 836 F.2d 637 (D.C. Cir. 1988); *Hutchinson v. Stuckey*, 952 F.2d 1418 (D.C. Cir. 1992); *Langevine v. District of Columbia*, 106 F.3d 1018 (D.C. Cir. 1997).

[15] *Wilburn v. Maritrans GP, Inc.*, 139 F.3d 350, 363 (3d Cir. 1998) (reviewing court exercises "closer degree of scrutiny when the district court grants a motion for new trial because it believes the jury's verdict is against the weight of the evidence."); *Massey v. Gulf Oil Corp.*, 508 F.2d 92, 95 (5th Cir.), *cert. denied*, 423 U.S. 838 (1975); *Carson v. Polley*, 689 F.2d 562, 570 (5th Cir. 1982) ("Our review of a district court's decision to grant a new trial is broader than our review of a district court's denied of a new trial, but the standard remains one of abuse of discretion."); *Holmes v. City of Massillon*, 78 F.3d 1041, 1047 (6th Cir.) (reviewing court must "closely scrutinize" decision to grant new trial on grounds that verdict was against the weight of the evidence), *cert. denied*, 519 U.S. 935 (1996).

consider more closely and in greater detail the record and the issues due to the conflict between the judge and the jury's perception of the case. When a new trial has been granted, an appellate court may have to review questions of whether damages were excessive or whether the verdict was against the weight of the evidence presented. Such review becomes more involved and difficult because of a conflict between the judge and the jury in their view of the case. The appellate court owes deference to the decisions of both the judge and the jury and must resolve this conflict by analyzing the trial more carefully. This necessarily results in a more detailed investigation than when a motion for new trial is denied. In the latter situation, both the judge and the jury have agreed on a particular result and the appellate review becomes more limited due to the considerable deference owed to both the judge and the jury. See *Grogan v. General Maint. Serv. Co.*, 763 F.2d 444 (D.C. Cir. 1985).

This distinction does not imply that appellate review of cases involving denials of new trial motions is perfunctory. "[A] decision calling for the exercise of judicial discretion 'hardly means that it is unfettered by meaningful standards or shielded from *thorough* appellate review.' " *United States v. Taylor*, 487 U.S. 326, 336 (1988) (emphasis supplied) (quoting *Albemarle Paper Co. v. Moody*, 422 U.S. 405, 416 (1975)). See also *Grunenthal v. Long Island R.R. Co.*, 393 U.S. 156 (1968), in which a judge's denial of a new trial motion on grounds of excessiveness was to be reviewed for abuse of discretion. In applying this standard, the court of appeals was required to make a "detailed appraisal of the evidence bearing on damages." *Id.* at 156. However, when a new trial is denied, the appellate court's analysis of the trial is aided by the lack of disagreement between the judge and the jury, both of which are entitled to deference by the appellate court. When a new trial has been granted and there is conflict between the judge and the jury, additional appellate scrutiny is required.

A more searching inquiry such as this is appropriate when the trial court sets aside a jury verdict and grants a new trial

because the right to a jury trial has been affected. In *Dimick v. Schiedt*, 293 U.S. 474, 486 (1935), which held that the trial judge's increase of a jury award of damages violated the Re-examination Clause of the Seventh Amendment, the Court stated that "Maintenance of the jury as a fact-finding body is of such importance and occupies so firm a place in our history and jurisprudence that any seeming curtailment of the right to a jury trial should be scrutinized with the utmost care." See also *Chauffeurs, Teamsters and Helpers Local No. 391 v. Terry*, 494 U.S. 558, 565 (1990); *Foust v. Munson S.S. Lines*, 299 U.S. 77, 84 (1936); *Parsons v. Bedford*, 28 U.S. (3 Pet.) 433, 446 (1830) (Story, J.) ("The trial by jury is justly dear to the American people. It has always been an object of deep interest and solicitude, and every encroachment upon it has been watched with great jealousy.").

The D.C. Circuit's approach of conducting a more searching inquiry to determine if a trial judge has abused his discretion in setting aside a jury verdict is probably related only to the need to resolve the conflict between the jury and the trial judge rather than to the standard of review. Such closer review is entirely consistent with this Court's directive in *Dimick*. It would reflect a consideration of the right of the jury to assess damages, the discretion that the trial judge has in certain instances to set aside a jury verdict and the requirement of legally sufficient grounds for its nullification by the district court. It would not result in the modification of the abuse of discretion standard of review.

As we understand the District's position, it is not objecting if this is the interpretation that the D.C. Circuit applied to a more searching inquiry. Rep. Pet. 1. The District is seeking abuse of discretion review and received it under this construction of the phrase.

B. A More Searching Inquiry May Also Signify That The Abuse Of Discretion Standard Was Applied More Exactingly Due To Seventh Amendment Considerations.

By conducting a more searching inquiry, the D.C. Circuit may have signified that it was applying an abuse of discretion standard more strictly. While this interpretation—*i.e.*, that the range of a trial court's discretion is narrowed—is not in our view apparent from the D.C. Circuit's opinion or its earlier decisions, it is nevertheless a conceivable explanation of the effect of conducting a more searching inquiry. It is, in any event, the possibility of a more searching standard of review that animates the District's case in this Court. Even if such an interpretation were supported, however, it would not be an erroneous standard of appellate review.

In *Taylor v. Washington Terminal Co.*, 409 F.2d at 148, the court stated that "In this jurisdiction particularly, District Court judges have given great weight to jury verdicts." The court noted that in jury trials, deference is due to the trial judge who personally observes the witnesses and considers the evidence. "But against his judgment, we must consider that the agency to whom the Constitution allocates the fact-finding function in the first instance—the jury—has evaluated the facts differently." *Id.* Even if one assumes that the D.C. Circuit reviewed the district court's decision under a heightened abuse of discretion standard, it was fully justified in order to protect this constitutional right.

In the context of this case, greater deference because of Seventh Amendment concerns must be given to the jury rather than to the trial judge. As the D.C. Circuit has stated, "where . . . it is clear that the jury has stayed within the reasonable range, the deference due its findings of fact outweighs the deference due the trial judge's first hand review of the evidence." *Id.* at 149. The jury has been given the primary and constitutional responsibility to weigh the evidence, assess credibility and determine the amount of damages. Any interference with this right to have the jury determine the facts by the granting of a new trial can be

reviewed under a stricter abuse of discretion standard. This approach recognizes that when the jury is properly performing its constitutionally assigned function, the trial judge may not intervene into the area of fact finding. *Dimick* very clearly prohibits such curtailment of the jury's delegated powers. By applying the abuse of discretion standard more strictly when a new trial has been granted, an appellate court is indicating that it is extending greater deference to the jury's determination of the facts, rather than to the trial judge.

The District's reliance on *Gasperini* in support of its contrary argument is also misplaced. There, this Court held for the first time that a federal appellate court could review a trial court's *denial* of a motion for new trial based on an allegedly excessive jury verdict. Most circuit courts of appeal had already been reviewing the denial of new trial motions based on a claim of an excessive jury verdict.[16] One of the issues considered in *Gasperini* was whether *any* such appellate review was consistent with the Seventh Amendment. The Court's recognition that some appellate review is available and its endorsement of an abuse of discretion standard when the jury's verdict is *not* thrown out plainly do not foreclose the use of a stricter abuse of discretion standard where the trial court *rejects* the jury's conclusion.

The District also relies on *Medcom Holding Co. v. Baxter Travenol Laboratories, Inc.*, 106 F.3d 1388 (7th Cir. 1997), in an effort to establish that greater deference should not be accorded to the jury's findings. In *Medcom*, the Seventh Circuit indicated that prior to *Gasperini*, it applied the abuse of discretion standard " 'somewhat more exacting[ly]' when the district court granted a new trial because of Seventh Amendment considerations." *Id.* at 1397 (quoting *Superbird Farms, Inc. v. Perdue Farms, Inc.*, 970 F.2d 238, 247 (7th Cir. 1992)). *Medcom* ended this practice in the Seventh Circuit and reviewed the district court's grant of a motion for new trial on damages "with somewhat more deference to the

---

[16] See 11 Charles Alan Wright, *et al.*, Federal Practice and Procedure § 2820, at 209 (2d ed. 1995).

district court, utilizing an ordinary abuse of discretion standard." *Id.* As we have explained, however, *Gasperini* does not address whether an abuse of discretion standard of review may be applied strictly when new trial motions have been granted and thus *Medcom's* supposition that the Seventh Circuit's more exacting inquiry did not survive *Gasperini* does not follow. Apart from its reference to *Gasperini*, *Medcom* fails to set forth any reason for not reviewing a district court's grant of a new trial under a stricter abuse of discretion standard.

The District attacks the possible use of a heightened standard with the facile contention that the Seventh Amendment right to a jury trial is not implicated in the least when a jury verdict is set aside, so long as another jury trial is available. But unless *some* deference is afforded to the first jury verdict, the right to a trial by jury is substantially undercut. Settled legal principles make clear that the result of a jury trial is to be protected and that simply granting another trial is not a panacea for infringement of that right. Thus, for example, it is well settled that a trial court—while possessing substantial discretion to grant new trials—does *not* possess unfettered discretion to do so, as it well could if a new jury trial were a sufficient protection of any Seventh Amendment interest. See *Lind*, 278 F.2d at 88 ("this discretion must still be exercised in accordance with ascertainable legal standards"). Thus, while the District cites Blackstone for the proposition that a second trial yields a more correct result since counsel and the judge are better informed and prepared, Pet. Br. 32-33, Blackstone also indicates that a second jury trial was not always available at the discretion of the court:

> Sufficient grounds must be shown to satisfy them, that it is necessary to justice that the cause should be further considered .... Nor do the courts lend too easy an ear to every application for a review of the former verdict. They must be satisfied, that there are strong probable grounds, to suppose that the merits have not been fairly and fully discussed

> and that the decision is not agreeable to the justice and truth of the case.

Blackstone's Commentaries on the Law, 701-02 (Bernard C. Gavit ed., 1941).

The historical requirement that the original jury verdict not be set aside without adequate grounds implies that it is more significant than getting the issue "right" by another trial. If the focus is only the correctness of the ultimate result, then no limitations would be imposed on the lower court's grant of a new trial. A judge would be able to set aside a jury verdict whenever he believed in his sole discretion that the parties could present a more effective case to a second jury. An initial jury determination would be rendered meaningless if the trial judge could exercise such authority and control.

Therefore, a trial court's disagreement with the jury's verdict quite naturally raises Seventh Amendment concerns about trampling on the right to a jury trial—concerns which are not present when as in *Gasperini*, the trial court upholds the jury's determination and denies a bid for a new trial. As this case came to the D.C. Circuit, therefore, there was a concern that the district court (which had initially thrown out Tri County's suit only to be reversed by the court of appeals) may have infringed Tri County's constitutional right to trial by jury. In an effort to make certain that such interference did not occur, the D.C. Circuit properly employed a "more searching inquiry."

III. THE DISTRICT COURT DID ABUSE ITS DISCRETION WHEN IT VACATED THE JURY'S AWARD AND GRANTED A NEW TRIAL.

In any event, whether a "more searching inquiry" impermissibly alters the scope of review under the abuse of discretion standard proves largely academic in this case when both the scope of that standard and the nature of the decision at issue are properly understood. This is so because the court of appeals found that each of the four bases upon which the

district court decided to grant a new trial constituted error *as a matter of law.*

The District's brief is largely premised on the supposition that abuse of discretion review is a fixed and definite standard, describing precisely one and only one type of review. It has long been understood, however, that—as Judge Posner has observed—"the words [abuse of discretion] describe a range of standards . . . in which the amount of deference given the trial judge's rulings varies with the nature of the ruling—a range that overlaps clear error, and even error, period." *Roland Mach. Co. v. Dresser Indus.*, 749 F.2d 380, 390 (7th Cir. 1984).[17] See also, *e.g., United States v. Criden*, 648 F.2d 814, 817 (3d Cir. 1981) ("Although the standard of review in such instances is generally framed as 'abuse of discretion,' in fact the scope of review will be directly related to the reason why that category or type of decision is committed to the trial court's discretion in the first instance"); Childress & Davis, Federal Standards of Review § 4.21 at 4-131 (3d ed. 1999) (abuse of discretion has "sliding contextual meaning").

Included in the range of things that might constitute an abuse of discretion are legal errors. As this Court has consistently observed, "[a] district court by definition abuses its discretion when it makes an error of law." *Koon v. United States*, 518 U.S. 81, 100 (1996); *accord Cooter & Gell v. Hartmax Corp.*, 496 U.S. 384, 405 (1990) ("A district court would necessarily abuse its discretion if it based its ruling on an erroneous view of the law."); *Gasperini*, 518 U.S. at 448 (Stevens, J., dissenting) ("Indeed, it is a familiar, if somewhat circular, maxim that deems an error of law an abuse of discretion."). Where errors of law are at issue, of course, an appellate court does not have to defer to the district court's resolution, but instead engages in *de novo* review. *Koon*, 518

[17] *Cf. Van Boxel v. Journal Co. Employees' Pension Trust*, 836 F.2d 1048, 1052 (7th Cir. 1988) (Posner, J.) (discussing arbitrary and capricious standard of review and noting that the standard of review "may be a range, not a point.")

U.S. at 100; *First Options of Chicago, Inc. v. Kaplan*, 514 U.S. 938, 948 (1995); *Salve Regina College v. Russell*, 499 U.S. 225, 239-240 (1991). Further, "if a district court's findings rest on an erroneous view of the law, they may be set aside on that basis." *Pullman-Standard v. Swint*, 456 U.S. 273, 287 (1982).

Accordingly, where legal errors are at issue, a "more searching inquiry"—even if otherwise improper by failing to accord the district court an appropriate amount of deference—would not be error because review of legal errors is *de novo* in any event. In other words, a conclusion that the district court abused its discretion by committing legal errors is unaffected by the existence of any "more searching inquiry." As we demonstrate below, in this case the district court's reasons for granting a new trial were wrong as a matter of law, and therefore there was no error in conducting a "more searching inquiry" even if such an inquiry were improper when considering questions of fact or evidentiary weight that led a district court to throw out a jury's determination.

First, the district court committed legal error by concluding that Tri County's lost profit claim was barred as a matter of law. Although the District contended that Tri County failed to mitigate its damages when it opted not to pursue an administrative appeal, the D.C. Circuit indicated that a duty to mitigate is "a question that turns on what action was reasonable under the circumstances." Pet. App. 6 (citations omitted). Even the district court acknowledged in its memorandum order that there was a factual dispute involving the reasonableness of pursuing administrative remedies. The jury properly considered the evidence produced by Tri County that an administrative appeal was too costly and that there were serious questions of the impartiality of the adjudicatory board. The jury, after being fully instructed, decided that the District had not established by a preponderance of the evidence that Tri County had failed to mitigate its damages. Pet. App. 12. Accordingly, it was error as a matter of law for the district court to hold that Tri County was "unrea-

sonable *per se*" in not appealing the suspension. *Id.* That ruling constituted an intrusion by the judge into a strictly factual dispute that the jury had resolved in Tri County's favor. As the D.C. Circuit stated, "it [the district court] abused its discretion in declaring *ex post* that Tri County's failure to pursue administrative remedies to reinstate its permit was *per se* unreasonable, thereby withdrawing the mitigation issue from the jury." Pet. App. 7 (citation omitted).

The cases cited by the District in its brief do not undermine the D.C. Circuit's holding. Pet. Br. 48. In *Pennzoil Producing Co. v. Offshore Exp., Inc.*, 943 F.2d 1465 (5th Cir. 1991), the district court, following a non-jury trial, determined that the plaintiff failed to mitigate its damages when it did not flare a well and that administrative approval, which was not pursued, would likely have been granted for such action.[18] The appellate court only held that this factual finding was not clearly erroneous. In *Pennzoil*, the trier of fact merely viewed the evidence regarding the efficacy of an administrative appeal differently. There was no attempt by the appellate court to state that administrative appeals must be pursued in all instances or else a party will have failed to mitigate its damages as a matter of law.

Similarly, in *Tatum v. Morton*, 562 F.2d 1279, 1283 (D.C. Cir. 1977), the Court of Appeals clearly stated that "the district court's per se approach—of imposing an absolute duty to mitigate—was not sound." The D.C. Circuit considered the problem to be one of reasonableness. *Id.* at 1284. Since *Tatum* was relied on by the D.C. Circuit in its opinion as authority for the proposition that mitigation was a jury

[18] In an effort to bolster its argument, the District incorrectly cites *Pennzoil* for the proposition that administrative action should be taken "even if exception would not have been granted." Pet. Br. at 48. The district court after trial found just the opposite. The court of appeals stated "the district court noted that exceptions are often granted in emergencies and that an exception would likely have been granted to *Pennzoil*." 943 F.2d at 1476.

issue (Pet. App. 7), it is odd that the District cites the case as supporting authority. Nor are the other two cases relied on by the District apposite. See *Chesapeake & Ohio Ry. v. Kelly*, 241 U.S. 485, 489 (1916); *Patterson v. Portich*, 853 F.2d 1399, 1408 (7th Cir. 1988). Both merely recognize the unremarkable proposition that a party must exert reasonable efforts to mitigate damages. They have no bearing on the appropriateness of deciding this issue as a matter of law.

The second legal error occurred when the district court concluded that Tri County's proof of lost profits was "too speculative and remote and that it failed to meet the required standard of reasonable certainty." Pet. App. 13. At trial, Tri County established that there was a demand for a soil remediation facility in the Washington area, the capacity of its equipment, the market rate for treating contaminated soil and the operating costs of its facility.[19] All of this evidence was admitted without objection by the District, including the testimony of Dr. Morse that lost profits amounted to $11,628,174.

Because the District never allowed Tri County to start its new business, actual income and expense figures were unavailable. According to *Samaritan Inns, Inc. v. District of Columbia*, 114 F.3d 1227, 1234-35 (D.C. Cir. 1997), in this situation "proof of the amount of damages may be based on a reasonable estimate." As the D.C. Circuit observed following its discussion of the witnesses and testimony presented on this issue, "they were sufficiently well-founded to avoid characterization as 'mere speculation or guess.' " Pet. App. 9 (citation omitted).

The legal error consisted of the district court's disregard of the standard applied in the D.C. Circuit for determining

[19] The District's cross examination of witnesses who testified regarding operating costs was practically non-existent. Even though utilities represented approximately 40% of the costs of this project, the District did not ask a single question of the mechanical engineer (Carter) who testified to such costs.

whether damages are speculative and not reasonably certain. "I[t] will be enough if the evidence shows the extent of the damages as a matter of just and reasonable inference, although the result be only approximate." *Samaritan Inns*, 114 F.3d at 1235 (citation omitted). As the D.C. Circuit concluded, Tri County's evidence met this standard. By ruling as a matter of law that Tri County's extensive evidence of damages was speculative, the district court was improperly resolving the strictly factual dispute of the amount of damages that had already been considered by the jury, just as it did on the mitigation issue.

In an effort to label the evidence of lost profits as speculative, the District now resorts to an analysis of the evidence. Pet. Br. 46-48. It completely ignores the fact that it failed to object to any of Tri County's evidence of $12 million in damages as being speculative in nature. Since the evidence was admitted it became part of the record to be considered by the trier of fact. See *United States v. Epstein*, 608 F.2d 1, 8-9 (D.C. Cir. 1979); *Willoughby v. Potomac Elec. Power Co.*, 100 F.3d 999, 1002 (D.C. Cir. 1996), *cert. denied*, 520 U.S. 1197 (1997); Fed. R. Evid. 103(a). The fact that DiRenzo, in response to a question from the district court, stated that a Baltimore facility had closed is not particularly probative. The District introduced no evidence regarding the Baltimore facility's operating costs, foreclosing the jury from considering whether that facility's failure was simply a function of a more expensive soil remediation unit, a costlier site location, mismanagement, or inability to get sufficient soil from companies such as Tri County that excavate contaminated soil.[20] These considerations prevent one from drawing the conclusion as a matter of law that Tri County's operation would not have been profitable.

---

[20] The unchallenged testimony at trial was that Tri County, as part of its normal operations, produced enough contaminated soil to keep its proposed facility fully operational. Record 131-132 (4/15/98)

Similarly, the closure of a Virginia facility because its permit was withdrawn sheds no light on the question of Tri County's profitability. If anything, given the continuing market for contaminated soil, the closure of two competing facilities would only benefit Tri County. Lastly, while DiRenzo testified that market prices had dropped, he stated without objection that they had leveled off at $32 per ton and anticipated this rate to be constant from 1997-2000. J.A. 62. Dr. Morse's report adjusted the income from the operations based upon these lower market rate projections. J.A. 139.

These factual issues, none of which the District even argued to the jury, demonstrate that the question of damages quite properly belonged to the jury. It was not the type of issue that the district court could resolve as a matter of law. The jury evaluated this testimony, comparing it to the evidence of $12 million in damages from Tri County's witnesses and reached a compromise verdict. The mere existence of a factual dispute over the profitability of a venture does not render Tri County's evidence speculative as a matter of law. While the district court labeled Tri County's proof of future profits a "pro-forma statement of income and expenses" (J.A. 13), there was no evidence that any of the figures in Dr. Morse's report were inaccurate or that items of expense were omitted.

The third legal error committed by the district court involved its description of the portion of the jury award attributable to lost profits ($4.5 million) as grossly excessive.[21] In its D.C. Circuit brief, Tri County argued that the district court committed legal error by determining, despite the applicable

---

[21] Usually, excessive verdicts occur when a jury is asked to value intangibles such as pain and suffering and its award is affected by passion or prejudice. In these situations, the trial court's decision to grant a new trial is given deference because it was in a better position to observe if the jury's verdict was improperly influenced by sympathy or prejudice. The nature of Tri County's evidence was different because it established a specific amount of damages for the jury to consider.

legal standard, that the jury's verdict was excessive and shocked the conscience of the court. D.C. Cir. No. 99-7028, Appellant's brief, 44-45. Even though this argument was separately identified in Tri County's brief, the District's brief never responded to it. By not challenging the issue of excessiveness of the verdict before the D.C. Circuit, the District has waived it in these proceedings.

In any event, because Tri County's proof of damages at trial exceeded $12 million, there was no legal basis for the district court to declare as a matter of law that the jury's $5 million verdict was excessive. The reasons given by the district court to support this conclusion were all factual issues—the lack of experience by Tri County, a diminishing market price and the failure of a soil remediation facility in Virginia. Tri County was entitled to have these factual issues resolved by the jury. The district court erred by not following controlling legal precedent which specifies when a jury's award of damages may be set aside on the grounds of excessiveness.

The D.C. Circuit cited *Langevine v. District of Columbia*, 106 F.3d 1018, 1024 (D.C. Cir. 1997), on this issue and quoted a portion of that decision. Pet. App. 9. The language preceding the quotation is also important. It states that "a jury's determination of damages may only be disturbed if it 'is so inordinately large as obviously to exceed the maximum limit of a reasonable range within which the jury may properly operate' " *Id.* (quoting *Jeffries v. Potomac Dev. Corp.*, 822 F.2d 87, 96 (D.C. Cir. 1987)). The District dismissively refers to this statement as a "rule of thumb" and asserts that it "seriously intruded into the district court's analysis of the excessiveness of the award." Pet. 19; Pet. Br. 43. This statement, however, reflects the law in the D.C. Circuit for at least the past thirty years. See *Taylor v. Washington Terminal Co.*, 409 F.2d at 149. It is an appropriate and well-considered legal definition of "excessive damages," which

the District never challenged before the D.C. Circuit.[22] Since Tri County's evidence of damages exceeded the jury's verdict, the district court's determination that it was excessive constituted legal error. The mere fact that a verdict seemed generous to the district court is an insufficient basis for setting it aside. See *Kennon v. Gilmer,* 131 U.S. 22 (1889); *Barry v. Edmunds*, 116 U.S. 550, 565 (1886).

The final legal error committed by the district court relates to the question of the District's ability to close this facility. During trial, the district court excluded all testimony regarding community opposition to the project as well as testimony involving its effects on health and safety. Such decision was made for three reasons. First, the District admitted that after an extensive review, Tri County's proposed project would not have a significant environmental impact. Second, testimony of generalized community opposition and potential health effects was extremely prejudicial to Tri County's case. Third, as the D.C. Circuit stated, "[t]he District never met the trial court's repeated injunction to show how the health and safety issue would have triggered additional regulatory procedures or otherwise allowed the District to rescind its earlier approval."[23] Pet. App. 10. In its memorandum

[22] The determination of when damages are excessive is a legal question. See *Gasperini*, 518 U.S. at 435 (" 'but surely there must be an upper limit, and whether that has been surpassed is not a question of fact with respect to which reasonable men may differ, but a question of law' ") (quoting *Dagnello v. Long Island R.R. Co.*, 289 F.2d 797, 806 (2d Cir. 1961)); 518 U.S. at 437 n.22 ("Whether damages are excessive for the claim-in-suit must be governed by *some law*.") (emphasis in original).

[23] With respect to this ruling by the trial court, the D.C. Circuit stated that "the district court did not abuse its discretion in excluding the evidence" under Federal Rule of Evidence 403. *Id.* A trial judge has wide discretion in rulings involving Rule 403 because "he is in a superior position to evaluate the impact of the evidence" and his determination will rarely be disturbed on appeal. *United States v. Robinson*, 560 F.2d 507, 514 (2d Cir. 1977), *cert. denied*, 435 U.S. 905 (1978).

opinion, the district court attempted to revise this ruling by stating that "I did not permit defendants to prove at trial, that there would be continued community resistance to increased dump truck traffic along Bryant Street . . . and a very real likelihood that the District of Columbia would have closed down the remediation facility . . . or that it would never have been permitted to commence operations at all." Pet. App. 14. This revised view of the trial is not supported by the record. The transcript indicates that the district court's repeated inquiries about a regulatory process to close the Tri County facility went unanswered. This is not a question of the district court restricting proof on this subject. The District was simply unable to articulate, by proffer or by testimony, any means of closing this project. The district court committed legal error by asserting in its memorandum opinion as a basis for granting a new trial that it had wrongfully excluded the District's "evidence" of the likely closure of the Tri County facility. No such evidence existed.

In its brief the District argues that there were three ways in which it could have re-evaluated the safety of this project and rescinded its earlier approval. First, it states that before a certificate of occupancy is issued an applicant must pass certain unspecified health and safety standards. Pet. Br. 49. The only supporting reference given for further health and safety evaluation before a certificate of occupancy is issued is J.A. 113-114. This portion of the joint appendix is merely a non-evidentiary statement of the District's counsel that Tri County still had to test its equipment and obtain a certificate of occupancy. This argument was not supported by any evidence and was contradicted by the District's own witnesses who testified that a certificate of occupancy is granted if the construction work is completed in accordance with the approved plans and specifications. J.A. 81-83. As a result Tri County could have obtained its certificate of occupancy without additional review of the safety of its proposed project.

The District next argues based on *Woodley Park Community Association v. District of Columbia Board of Zoning*

Adjustment, 490 A.2d 628 (D.C. 1985), that the community could have challenged the issuance of the building permit. This contention was never before the district court since the District failed to cite *Woodley Park* until the appeal before the D.C. Circuit. Tri County asserted that this argument had been waived. D.C. Circuit No. 99-7028, Reply Brief, 21. During trial there was also no proffer by the District of any community group that was prepared to take legal action to stop this facility so that any such proceedings were entirely speculative. As the district court stated "this is not to say . . . that you may not have an appropriate way to talk about community opposition after the fact, but I don't know what it is yet. I haven't seen the foundation." R. 387 (4/16/98). Further, the building permit had been issued to Tri County on February 26, 1993. When the unconstitutional suspension occurred approximately seven months later, Tri County had expended hundreds of thousands of dollars in reliance on its building permit and its project was close to being operational. *Woodley Park* indicates that any effort by the local community to challenge this project would have been barred by laches.

Lastly, the District states that it could have re-evaluated the project on the grounds of misrepresentation. The District produced no witnesses who testified to the circumstances under which they had regulatory authority to review projects following issuance of a building permit. In any event this project could not have been examined again because the District was not deceived when it issued a building permit to Tri County. It admittedly had conducted a full and extensive review of the project. R. 402-403 (4/16/98). The District also knew exactly where the facility was located with respect to adjoining residences because of its pre-permit inspections of the site that occurred prior to December 11, 1992. See J.A. 8-9. In addition, there was evidence from Sweeney that so long as the soil was kept inside the warehouse, as Tri County intended, it would have no effect on surrounding homes. J.A. 97-98. The District further knew that there would be more than a little employee traffic generated by this facility. In November, 1992 Sweeney was aware that dump

trucks were going to be carrying the soil to the Tri County facility. J.A. 100. The District was aware that Tri County intended to treat 75,000 tons of soil per year at this facility. J.A. 100-101. Under these circumstances the District could not have proved that it was misled when it issued a building permit to Tri County on February 26, 1993 or that there was any basis for re-opening the review process.

As a result, the district court's decision to exclude all evidence of health, safety and community resistance was proper. The alternative was to prejudice Tri County with allegations that might have frightened the jury but would not have prevented the continuation of the project.[24] The district court committed legal error in its memorandum order when it sought to modify this ruling without any factual or legal basis.

Under these circumstances, where the district court has committed legal errors, its decision to grant a new trial deserves no deference by the appellate court. The memorandum opinion was properly reversed by application of an ordinary abuse of discretion standard since it consisted solely of erroneous legal conclusions. The fact that these conclusions were not correct fully justified the D.C. Circuit's reinstatement of the original jury verdict, without regard to the issue of a more searching inquiry.

---

[24] The same rationale existed with respect to the exclusion of the two post-suspension letters from the District to Tri County. The District could not establish any legal basis for sending the October 15, 1993 correspondence. The failure to respond to that letter could not justify the suspension contained in the December 6, 1993 letter. To allow the jury to consider these two documents would have created the false impression that Tri County had acted wrongly in not responding to them.

IV. IF THIS COURT DETERMINES THAT THE D.C. CIRCUIT EMPLOYED AN ERRONEOUS STANDARD OF APPELLATE REVIEW, THE CASE SHOULD BE REMANDED FOR THE D.C. CIRCUIT TO APPLY THE CORRECT STANDARD OF REVIEW.

If this Court should determine that the D.C. Circuit did apply the wrong standard of review, the appropriate course of action would be to remand for reconsideration in light of the correct standard. Contrary to the District's suggestion that this Court should apply any standard in the first instance, Pet. Br. 46-49, the usual course is to permit the lower courts to engage in that task. See *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 257 (1986); *Crawford-El v. Britton*, 523 U.S. 574, 601 (1998); *Adarand Constructors, Inc. v. Pena*, 515 U.S. 200, 237 (1995). The District has identified no reason not to follow that course here. Such action would be particularly appropriate in this case because the D.C. Circuit would in any event have to consider the issues Tri County raised as errors with respect to the second trial.

CONCLUSION

For the foregoing reasons, the judgment of the United States Court of Appeals for the District of Columbia Circuit should be affirmed.

Respectfully submitted,

FRANK J. EMIG
Counsel of Record
LAW OFFICES OF FRANK J. EMIG
Greenway Center East, Suite 314
7525 Greenway Center Drive
Greenbelt, Maryland 20770
(301) 345-7002

Counsel for Respondent